

# **Case Study on Carlill v Carbolic Smoke Ball Co.** **(1893)**

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## **Introduction**

Carlill v Carbolic Smoke Ball Co. (1893) is one of the most important cases in English Contract Law. It is a famous case because it explained important rules about how contracts are formed. The case showed that an advertisement can sometimes be a legally binding offer and not just a way to promote a product. This case is important because it explained ideas such as unilateral contracts, acceptance by performance, consideration, and intention to create legal relations. These principles are still used today in many countries, including India. The case is also useful in understanding advertising, consumer rights, promotional offers, and business practices. Even after many years, it remains an important part of contract law.

## **Background of the Case**

In the late 1800s, England faced many outbreaks of influenza (flu). People were worried about catching the disease. During this time, the Carbolic Smoke Ball Company sold a product called the Carbolic Smoke Ball. The company claimed that the product could prevent influenza and other respiratory illnesses if used correctly. To attract customers, the company published an advertisement in newspapers. The advertisement stated that anyone who used the smoke ball three times a day for two weeks, as instructed, and still got influenza would receive £100 as a reward. This was meant to prove that the company was serious about paying people who qualified for the reward.

## **Facts of the Case**

Mrs. Louisa Carlill bought the Carbolic Smoke Ball after reading the advertisement. She followed all the instructions carefully and used the product exactly as directed. Even after using the smoke ball properly, she caught influenza. The company refused to pay. It argued that the advertisement was only a marketing statement and was not meant to create a legal obligation. The company also argued that the advertisement was too unclear to be considered a legal offer and that it could not have intended to make contracts with everyone who read it. Because of the refusal, Mrs. Carlill filed a case in court to claim the reward.

## **Legal Issues Before the Court**

The Court of Appeal had to decide the following questions:

1. Was the advertisement a real legal offer or just an advertisement?
2. Can an offer be made to the general public instead of a specific person?
3. Did Mrs. Carlill need to tell the company that she accepted the offer before using the product?
4. Was there valid consideration to create a legal contract?

The answers to these questions would determine whether a valid contract existed between Mrs. Carlill and the company.

## **Arguments of the Parties**

Arguments of the Carbolic Smoke Ball Company The  
company argued that:

- The advertisement was only a sales promotion and not a legal promise.
- The promise was too general and uncertain to be a valid offer.
- The company could not make contracts with every person who read the advertisement.
- Mrs. Carlill never informed the company that she accepted the offer.
- There was no valid consideration for a contract.

### **Arguments of Mrs. Carlill**

Mrs. Carlill argued that:

- The advertisement clearly promised £100 to anyone who met the stated conditions.
- She had followed all the instructions exactly.
- The company's deposit of £1,000 showed that the promise was serious.
- Since she completed all the required conditions, a contract was formed and she should receive the reward.

### **Judgment**

The Court of Appeal decided in favour of Mrs. Carlill. The judges ruled that the company had to pay her £100. The court rejected the company's argument that the advertisement was just a marketing trick. The judges said that the statement about depositing £1,000 in a bank showed that the company seriously intended to keep its promise. Any reasonable person reading the advertisement would believe that the company intended to be legally bound. The court also held that the advertisement was a unilateral offer made to the public. Anyone who completed the required conditions could accept the offer. The judges further explained that Mrs. Carlill did not need to communicate her acceptance before using the smoke ball. In a unilateral contract, acceptance happens when a person performs the required act.

### **Legal Principles Established**

#### **1. Unilateral Contracts**

An offer can be made to the general public. A contract is formed when someone performs the required act mentioned in the offer.

#### **2. Acceptance by Performance**

In unilateral contracts, a person does not need to communicate acceptance before performing the act. Performing the act itself is acceptance.

### 3. Intention to Create Legal Relations

Courts look at whether a reasonable person would believe the promise was serious. The company's bank deposit showed that it intended to create legal relations.

### 4. Consideration

Mrs. Carlill's effort and compliance with the instructions were valid consideration. The company also benefited because the advertisement helped increase sales.

### 5. Offer to the Public

A legal offer can be made to the public and not just to one specific person. Anyone who meets the conditions can accept the offer.

## **Business Relevance**

This case is important for modern businesses. Companies often use advertisements that include guarantees, rewards, cashback offers, contests, and money-back promises. This case shows that such promises can become legally enforceable if they are clear and serious.

Businesses must make sure that their advertisements are truthful and accurate. They should avoid making false or exaggerated claims. Today, many companies include terms and conditions in advertisements to reduce legal risks. The case also protects consumers by ensuring that businesses cannot avoid promises made to the public. It encourages fair advertising and builds trust between businesses and customers.

## **Importance in Modern Contract Law**

The principles from Carlill v Carbolic Smoke Ball Co. are still used by courts around the world. Online shopping websites, e-commerce platforms, reward programs, promotional campaigns, and digital advertisements often involve legal ideas developed in this case. The case is frequently studied in law schools because it clearly explains how contracts can be formed through public offers and performance. It remains one of the most important cases in contract law.

## **Conclusion**

Carlill v Carbolic Smoke Ball Co. (1893) is one of the most important cases in contract law. It established that advertisements containing clear promises and showing an intention to create legal relations can become legally binding offers. It also explained important principles such as unilateral contracts, acceptance by performance, consideration, and offers made to the public. The case continues to guide courts, lawyers, businesses, and consumers in understanding contracts created through advertisements and promotional offers. Its principles are still very

relevant in today's digital world, where companies communicate with customers through websites, online advertisements, and marketing campaigns. For this reason, *Carlill v Carbolic Smoke Ball Co.* remains a foundation of modern contract law and consumer protection.